

LIMURU TEA COMPANY LIMITED

P. O. BOX 42011,
Nairobi 00100, Kenya
Telephone: Nairobi 532520

ANNOUNCEMENT OF UNAUDITED RESULTS FOR THE SIX MONTHS ENDED 30TH JUNE 2013

The Board of Directors is pleased to announce the company's unaudited results for the Six months ended 30th June 2013 as below.

STATEMENT OF FINANCIAL POSITION	As At 30.06.13	As At 30.06.12
CAPITAL EMPLOYED	Shs'000	Shs'000
Share capital	24,000	24,000
Retained Earnings & reserves	209,233	116,710
Profits for the period	13,170	541
Proposed dividend	-	-
Total equity	246,403	141,251
Non Current Liabilities		
Deferred income tax	49,253	20,129
Post employment benefit obligation	18,864	16,068
	68,117	36,197
Total equity and Non Current Liabilities	314,520	177,448
REPRESENTED BY		
Non Current Assets		
Property, plant and equipment	3,785	2,800
Biological assets	186,530	88,020
	190,315	90,820
Current Assets		
Receivables	128,210	78,006
Current income tax-Asset	-	3,688.6
Cash at bank and in hand	6,700	10,730
Inventory	38	10
	134,948	92,435
Current Liabilities		
Trade and other payables	5,395	5,807
Current income tax-Liability	5,348	-
	10,743	5,807
Net Current Assets	124,205	86,628
	314,520	177,448

CONDENSED STATEMENT OF CASH FLOWS	As at 30.06.13	As at 30.06.12
	Shs '000	Shs '000
Net cash from operating activities	9,900	12,459
Net cash used in investing activities	(1,123)	(140)
Net cash used in financing activities	(9,000)	(9000)
Increase in cash and cash equivalents	(223)	3,319
Movement in cash and cash equivalents		
At start of year	6,923	6,234
Decrease/Increase	(223)	3,319
At end of June	6,700	9,553

DIRECTORS: E De FORESTA (French) R C KORIR J CHERUIYOT

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CONDENSED STATEMENT OF COMPREHENSIVE INCOME			
	Jan-June 2013 Shs '000		Jan-June 2012 Shs '000
Turnover	58,454		33,444
Profit before income tax	18,814		678
Income tax (expense)	(5,644)		(203)
Profit attributable to the shareholders	13,170		541
Issued shares of Kshs. 20 each	1,200,000		1,200,000
Earnings per share (Shs)	10.98		0.45
Total Dividends per share (Shs)	-		-

CONDENSED STATEMENT OF CHANGES IN EQUITY				
	Share Capital Shs '000	Retained Earnings & reserves Shs '000	Proposed Dividend Shs '000	Total Shs '000
Balance at 1 st January 2012	24,000	116,710	9,000	149,710
Total recognized income to June 2012	-	541	-	541
Dividends				
-Final paid for 2011			(9,000)	(9,000)
-Proposed final for 2012		-	-	
Balance as at 30 th June 2012	24,000	117,251	-	141,251
Balance at 1 st January 2013	24,000	209,233	9,000	242,233
Total recognized income to 30 th June 2013	-	13,170	-	13,170
Dividends				
-Final paid For 2012			(9,000)	(9,000)
-Proposed final for 2013		-	-	
Balance as at 30 th June 2013	24,000	222,403	-	246,403

LIMURU TEA COMPANY LIMITED

COMMENTARY

Performance

In the first half of 2013, the company produced 1,518,820 kilograms of green leaf, which in turn was manufactured into 348,481 kilograms of black tea. This was a 51% increase in made tea volumes compared to the first half of 2012.

Total revenues increased by 75% to Kshs. 58 million in the period compared to Kshs. 33 million realised in the same period of 2012. This improvement is attributed to favourable weather conditions and better prices.

The company posted a pre-tax profit of Kshs. 18.8 Million in the first half compared to Kshs. 0.68 Million in 2012. The significant improvement in profits is attributed to a 51% increase in production and better prices.

Dividend

The Directors do not recommend an interim dividend.

Prospects

Tea auction prices have dropped steadily as the year progressed. If these conditions persist we expect the revenues in the second half to be lower which will adversely impact on the profitability.

By Order of the Board



INVOLATA ORIWO
COMPANY SECRETARY

9th September 2013